

**ACQUISITIONS**

**12 Months Ended**

**May 31, 2023**

[Business Combinations](#)

[\[Abstract\]](#)

**2. ACQUISITIONS**

**Acquisition of Cerner Corporation**

On December 20, 2021, we entered into an Agreement and Plan of Merger (Merger Agreement) with Cerner, a provider of digital information systems used within hospitals and health systems that are designed to enable medical professionals to deliver better healthcare to individual patients and communities.

On January 19, 2022, pursuant to the Merger Agreement, we commenced a tender offer to purchase all of the issued and outstanding shares of common stock of Cerner at a purchase price of \$95.00 per share, net to the seller in cash, without interest thereon, based upon the terms and subject to the conditions set forth in the Offer to Purchase dated January 19, 2022, and the related Letter of Transmittal.

On June 8, 2022, pursuant to the terms of the tender offer and applicable Delaware law, we acquired all the outstanding Cerner shares and effectuated the merger of Cerner with and into a wholly-owned subsidiary of Oracle and Cerner became an indirect, wholly-owned subsidiary of Oracle. Vested equity awards outstanding immediately prior to the consummation of the merger were cancelled in exchange for the right to receive an amount in cash based on a formula contained in the Merger Agreement. The unvested equity awards to acquire Cerner common stock that were outstanding immediately prior to the conclusion of the merger were converted into equity awards denominated in shares of Oracle common stock based on formulas contained in the Merger Agreement. We have included the financial results of Cerner in our consolidated financial statements from the date of acquisition. During fiscal 2023, Cerner contributed \$5.9 billion to our total revenues.

The total purchase price for Cerner was \$28.2 billion, which consisted of \$28.2 billion in cash and \$55 million for the fair values of restricted stock-based awards and stock options assumed. Pursuant to our business combinations accounting policy, we estimated the fair values of net tangible and intangible assets acquired, and the excess of the consideration transferred over the aggregate of such fair values was recorded as goodwill. The following table summarizes the allocation of the purchase price based on estimated

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fair values of net tangible and intangible assets acquired from Cerner:

(in millions)

|                                        |                 |
|----------------------------------------|-----------------|
| Cash and marketable securities         | \$ 769          |
| Trade receivables, net                 | 854             |
| Property, plant and equipment, net     | 1,512           |
| Intangible assets                      | 11,972          |
| Goodwill                               | 18,618          |
| Other assets                           | 520             |
| Accounts payable and other liabilities | (1,691)         |
| Deferred revenues                      | (305)           |
| Senior notes and other borrowings      | (1,609)         |
| Deferred tax liabilities, net          | (2,424)         |
| Total                                  | <u>\$28,225</u> |

All of the \$1.6 billion of senior notes and other borrowings assumed through our Cerner acquisition were repaid during fiscal 2023. Refer to Note 7 below for more information. Generally, goodwill recognized as a part of our acquisition is not deductible for income tax purposes.

#### **Other Fiscal 2023, 2022 and 2021 Acquisitions**

During fiscal 2023, 2022 and 2021, we acquired certain other companies and purchased certain technology and development assets primarily to expand our products and services offerings. These acquisitions were not significant individually or in the aggregate to our consolidated financial statements.

#### **Unaudited Pro Forma Financial Information**

The unaudited pro forma financial information in the table below summarizes the combined results of operations for Oracle and Cerner. The unaudited pro forma financial information for all periods presented includes the business combination accounting effects resulting from this acquisition, including amortization charges from acquired intangible assets, stock-based compensation charges for unvested restricted stock-based awards and stock options assumed and the related tax effects as though Cerner was acquired as of the beginning of fiscal 2022. The unaudited pro forma financial information as presented below is for informational purposes only and is not necessarily indicative of the results of operations that would have been achieved if the acquisition had taken place at the beginning of fiscal 2022.

The unaudited pro forma financial information for fiscal 2023 and 2022 combines the historical results of Oracle for fiscal 2023 and 2022, respectively, the historical results of Cerner for the twelve months ended March 31, 2023 and 2022, respectively (adjusted due to differences in reporting periods and considering the date we acquired Cerner), and the effects of the pro forma

adjustments listed above. The unaudited pro forma financial information is as follows:

| (in millions, except per share data) | Year Ended May 31, |           |
|--------------------------------------|--------------------|-----------|
|                                      | 2023               | 2022      |
| Total revenues                       | \$ 50,065          | \$ 48,218 |
| Net income                           | \$ 8,456           | \$ 4,988  |
| Basic earnings per share             | \$ 3.14            | \$ 1.85   |
| Diluted earnings per share           | \$ 3.06            | \$ 1.79   |